October 1913, several Indian brokers had collapsed and the share market had virtually closed down.

It was at this time that the Indian Specie Bank started experiencing difficulties. The bank had speculated heavily in pearls and shares, and the precipitous fall in the price of the former, and the difficulties faced by a number of pearl merchants caused problems for the bank which started calling in loans in desperation. The failure of Jehangir Byramji Dalal, one of the biggest pearl merchants, with liabilities between ₹15–20 lakhs and assets of only ₹2–3 lakhs was ascribed to Chunilal Saraiya the Managing Director of the Indian Specie Bank. The bank finally shut shop on November 29, 1913. Saraiya died on the same day, a case of suspected suicide.[8]

Justice Macleod of the Bombay High Court while hearing a petition of alleged malpractices brought against the bank narrated the sordid story in some detail. It was a tale of dishonesty, inefficiency, and negligence in which the chief villain was Saraiya, a former employee of the Bank of Bombay, whose knowledge and efficiency were never in doubt but whose 'innocence was another pair of shoes.'[9] All the senior employees were Saraiya's own men and the Directors exercised virtually no control over him. The grossly underpaid auditors saw only what Saraiya chose to show them, and the Liquidator's Report observed that the bank had gone on paying large dividends and bonuses though it had in reality been suffering considerable losses every year. Thus, a promising experiment in swadeshi enterprise, started at an opportune moment and fraught with great potentialities for good had been ruined by wild gambling sustained by deception and fraud.

For the most part the government adopted a hands-off policy and it was obvious that no government funds were to be used to save unsound institutions. Pt Madan Mohan Malaviya made a lengthy speech in the Indian Legislative Council on the Imperial Bank Bill. Quoting from the findings of the official committee headed by H.L. Maynard, (Financial Commissioner of the Government of Punjab, appointed to report on the causes of the failure of the banks), he argued that the failure was not so much the result of poor management but the result of a lack of support both from the government and the Presidency Banks. He concluded by saying that if a government bank which could regulate the affairs of these banks